

ECONOMICS PAPER 1

(Mock Test 43)

Time allowed: 40 minutes

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 30 questions in this paper. Choose the **BEST** answer for each question.

1. Macy received a theatre ticket from her father with an original price of \$280. A friend offered to buy the ticket for \$200. At the same time, a fast-food restaurant offered to hire Macy for a part-time job for \$300 during the time of the play. If Macy accepts the part-time job, she will sell the ticket to her friend.

According to the above information, Macy's opportunity cost of choosing to watch the play is _____.

- A. \$300
- B. \$500
- C. \$580
- D. \$780

2. Refer to the following conversation.

Cody: The world produces over 400 million tonnes of plastic waste every year.

Yanny: Even if it increases business costs, we should fully ban single-use plastic products.

_____ statement is _____ because _____.

- A. Cody's ... positive ... it is consistent with real world data
- B. Cody's ... normative ... not everyone agrees with it
- C. Yanny's ... positive ... it can be rejected by facts
- D. Yanny's ... normative ... value judgement is involved in the statement

3. The organiser of a large concert has made the following rules:

- 1. All tickets are to be sold online, starting at \$280, while stocks last.
- 2. Real-name registration system is adopted for the sale of the tickets and the tickets are non-transferable.

Which of the following statements about the above ticket sales arrangement is/are **CORRECT**?

- (1) The above rules are related to the problem of 'for whom to produce'.
- (2) The right to transfer over the tickets would be weakened.
- (3) Price competition would not be involved in the allocation of the tickets.

- A. (1) only
- B. (2) only
- C. (1) and (2) only
- D. (2) and (3) only

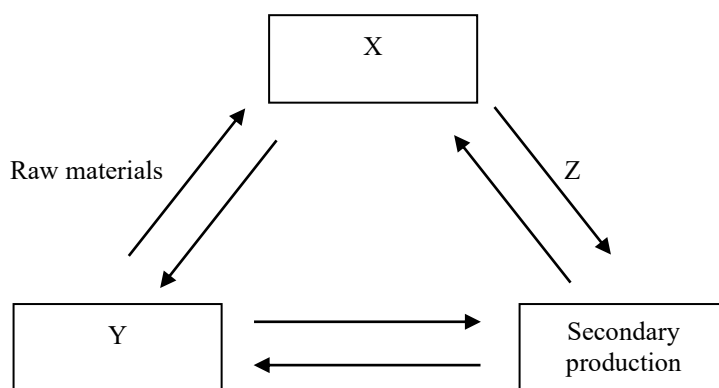
4. Refer to the following information about two firms in Hong Kong.

	Firm A	Firm B
Issuing shares to the public	Impossible	Possible
Liability of the owner	Owners bear all the liability of the firm	The liability of owners is confined to the amount of their investment

Based on the above information, which of the following statements about firm A and firm B is **INCORRECT**?

- A. Both firm A and firm B can possibly have 1,000 owners.
- B. Firm B cannot keep its accounting information confidential while firm A can.
- C. Firm B has better continuity than firm A.
- D. When both firms have the same amount of profit, firm B may enjoy a lower profits tax rate than firm A.

5. A listed company in Hong Kong is considering issuing shares or bonds to raise capital. For the existing shareholders, which of the following is an advantage of issuing shares instead of bonds?
- Since most small investors in Hong Kong participate in the stock market rather than the bond market, issuing shares can raise more capital.
 - The company has no repayment obligation.
 - Existing shareholders' power of control over the company will not be diluted.
 - If the share price rises, shareholders can earn capital gains.
6. Which of the following are examples of public goods?
- an ancient poem
 - public bus service
 - free television broadcasts
 - medicine provided by public hospitals
- (1) and (3) only
 - (1) and (4) only
 - (2) and (3) only
 - (2) and (4) only
7. Refer to the following diagram. Each box in the diagram represents a type of production.



X, Y and Z represent _____, _____ and _____ respectively.

- primary production ... tertiary production ... producer goods
 - primary production ... tertiary production ... services
 - tertiary production ... primary production ... producer goods
 - tertiary production ... primary production ... services
8. Jason, Joyce and Karmen are organising a birthday party for their friend. Jason is responsible for decorations, Joyce is responsible for preparing dinner, and Karmen is responsible for buying gifts. This is an example of _____ division of labour because _____.
- simple ... each person is responsible for one task
 - complex ... each person is responsible for one aspect of the birthday party
 - simple ... each person is involved in different stages of production
 - complex ... each person prepares the birthday party according to their own expertise

9. Which of the following statements about land and capital in economics is/are **CORRECT**?

- (1) The quantity of land cannot be increased by human effort, while the quantity of capital can.
 - (2) The return on land is rent, while the return on capital is profit.
 - (3) In the process of wind power generation, wind belongs to land while generators belong to capital.
- A. (1) only
B. (2) only
C. (1) and (3) only
D. (2) and (3) only

10. The table below shows data for two firms:

	Firm A	Firm B
Number of workers employed	30	25
Working hours per worker/month	160	200
Average output per worker/month	512	750
Percentage of output with quality below standard	1.1%	1.3%

Refer to the above table. Which of the following can best explain the difference in average labour productivity and quality of outputs between the two firms?

- A. Firm B uses piece rate while firm A uses time rate.
B. Firm A has a better working environment than firm B.
C. Firm A employs workers with higher skills.
D. Firm B does not provide appropriate training to its employees.
11. After a major sporting event ends, a bus company arranges additional services to transport spectators. Which of the following are fixed costs involved in this arrangement?
- (1) fuel costs for buses
 - (2) insurance expenses of the bus company
 - (3) hourly wages of part-time bus drivers
 - (4) salaries of administrative staff
- A. (1) and (3) only
B. (1) and (4) only
C. (2) and (3) only
D. (2) and (4) only

12. The table below shows the input-output relationship of a firm. The only input required for production is labour. The fixed cost is \$10 and the wage rate per unit of labour is \$5.

Labour (units)	Total output (units)
2	8
3	13
4	19
5	26
6	32

According to the above table, which of the following statements is **CORRECT**?

- A. Since the average cost for each unit of output keeps falling, the firm enjoys economies of scale.
 - B. The optimal scale of production is 26 units.
 - C. When the 6th unit of labour is employed, marginal product starts to diminish, indicating that the law of diminishing marginal returns applies to the firm.
 - D. Since total output keeps rising, the law of diminishing marginal returns does not apply.
13. The HKSAR Government has approved the Hong Kong University of Science and Technology to establish a medical school to offer medical programmes that train more doctors and expand medical services.

In this case, hospitals will

- A. enjoy internal economies of scale.
 - B. enjoy external economies of scale.
 - C. suffer internal diseconomies of scale.
 - D. suffer external diseconomies of scale.
14. The following table shows the cost-output relationship of a profit-maximising firm.

Output (units)	Average variable cost (\$)
3	4
4	4
5	5
6	6
7	7

Given the fixed cost is \$5. If the profit-maximising output is 6 units, the market price will be _____ and the profit will be _____.

- A. \$6 ... \$25
 - B. \$6 ... \$30
 - C. \$11 ... \$25
 - D. \$11 ... \$30
15. A profit-maximising firm will increase its output if _____.
- A. fixed cost decreases by \$20
 - B. average cost for each unit of output decreases by \$10
 - C. demand for the good produced by the firm decreases
 - D. the marginal cost of production for the firm increases

16. An automobile manufacturer acquires an engine manufacturer. The engine manufacturer has a number of clients, and its engines can be used in cars of different brands. Which of the following could be the motives behind the acquisition?

- (1) to enjoy economies of scale
- (2) to diversify risk through business diversification
- (3) to expand the market outlet for its products

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

17. A large chain convenience store posts a job advertisement to hire shop assistants at \$50 per hour. Even though the advertisement has been posted for a long time, the convenience store still cannot hire enough shop assistants.

From the information above, it can be inferred that the quantity transacted in the labour market is _____ the quantity demanded and _____ the quantity supplied.

- A. smaller than ... larger than
- B. smaller than ... equal to
- C. equal to ... larger than
- D. equal to ... smaller than

18. There are two neighbouring fitness centres in an area, adopting different pricing arrangements.

Fitness centre A:

- Pay an entrance fee of \$40 per entry into the fitness centre

Fitness centre B:

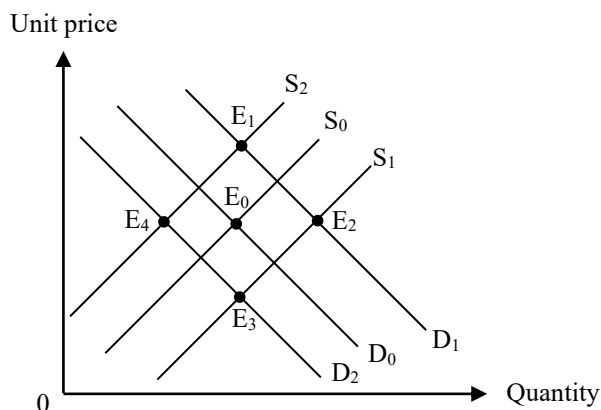
- Pay a fixed monthly fee of \$200 for unlimited entry

Suppose people consider the services provided by the two fitness centres to be similar. Which of the following statements are **CORRECT**?

- (1) Users of fitness centre A tend to spend a shorter time in the centre on average.
- (2) Members of fitness centre B tend to visit the centre more frequently.
- (3) The marginal benefit of the last unit of fitness centre service for members of fitness centre B tends to be lower.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

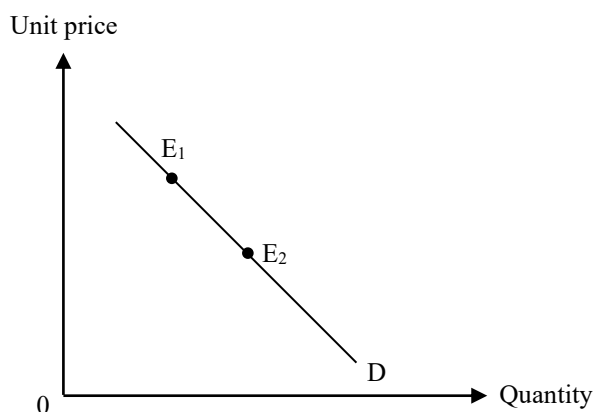
19. The following is the demand-supply diagram for the canned coffee of brand A. E_0 is the initial equilibrium point.



Suppose more firms enter the canned coffee market. At the same time, the price of coffee beans rises. The new equilibrium point will be at _____.

- A. E_1
- B. E_2
- C. E_3
- D. E_4

20. The demand curve for smartphone repair services is D.



Which of the following reasons best explains the change in the equilibrium point for smartphone repair services from E_1 to E_2 ?

- A. The price of brand-new smartphones decreases.
- B. The price of replacement parts for smartphones decreases.
- C. The equilibrium wage of repair technicians for other electronic products increases.
- D. Smartphones break down more frequently.

21. The table below shows the demand schedule for good Y before and after a decrease in the supply of good X.

Price (units)	10	11	12	13	14
Original quantity demanded (units)	20	18	16	14	12
New quantity demanded (units)	22	20	18	16	14

Based on the table above, good X and good Y are most likely _____.

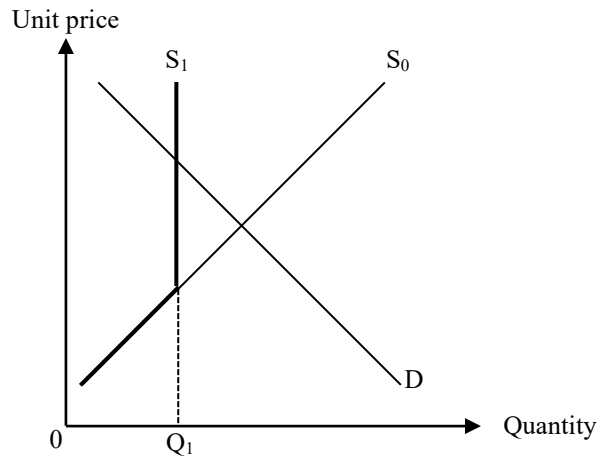
- A. substitutes
 - B. complements
 - C. in joint supply
 - D. in competitive supply
22. Which of the following is most likely to increase the price elasticity of demand for mobile data services?
- A. The government issues more licences for mobile data services.
 - B. Network providers raise the price of mobile data services.
 - C. The government sets up free Wi-Fi hotspots in more locations.
 - D. People become more used to using mobile data to watch videos.
23. Good X and good Y are in joint supply. When the demand for good X increases, the price of good Y changes by 25% and the quantity transacted of good Y increases from 250 units to 300 units. Which of the following statements is **CORRECT**?
- A. The demand for good Y is inelastic.
 - B. The demand for good Y is elastic.
 - C. The supply of good Y is inelastic.
 - D. The supply of good Y is elastic.
24. Refer to the following supply and demand schedules for good X.

Price (\$)	3	4	5	6	7
Quantity demanded (units)	12	11	10	9	8
Quantity supplied (units)	10	10	10	10	10

Which of the following statements about the market of good X is **CORRECT**?

- A. If the government imposes a price ceiling of \$3 on good X, the quantity transacted of good X will be 12 units.
- B. If the government imposes a price floor of \$7 on good X, the quantity transacted of good X will remain unchanged.
- C. If the government provides a per-unit subsidy of \$2 to the producers of good X, the equilibrium price of good X will fall.
- D. If the government imposes a per-unit sales tax of \$2 on good X, the producers' total revenue net of tax will be \$30.

25. The following is the demand-supply diagram for drones. The government imposes a quota of Q_1 on drones.



Which of the following statements about the drone market are **CORRECT**?

- (1) If the price of drone motors falls, the quantity transacted will remain unchanged.
 - (2) If drones become more popular, the total sales value will increase.
 - (3) If the government increases the quota, the market price will increase.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

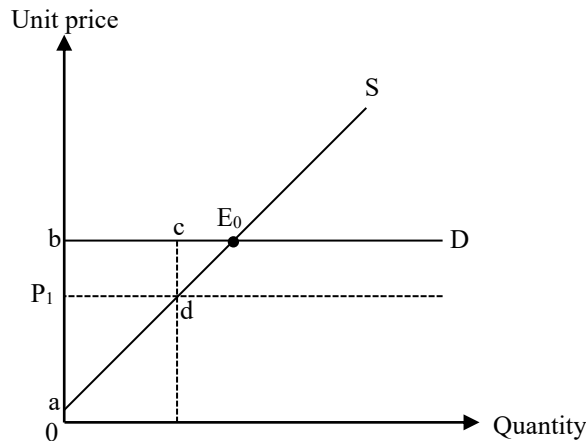
26. The table below shows the market shares of the four largest firms in Country A's live fish market in a certain year.

Firm A	6%
Firm B	5%
Firm C	4%
Firm D	3%
Others	82%

According to the above table, the market structure of Country A's live fish market could be regarded as _____ because _____.

- A. monopolistic competition ... firms can freely enter or exit the market
 - B. monopolistic competition ... there is no dominant firm in the market
 - C. oligopoly ... firms sell differentiated products
 - D. oligopoly ... the firms are interdependent in their marketing strategies
27. A fan sells a football bearing a star player's autograph to the highest bidder on an auction website. The case illustrates the _____ function of price because _____.
- A. allocative ... more resources can be allocated to the production of football
 - B. allocative ... price can convey information about consumer preferences
 - C. rationing ... the football is obtained by the buyer willing to pay the highest price
 - D. rationing ... this arrangement allows the fan to earn the highest profit

28. When _____, overproduction will occur.
- marginal product starts to diminish
 - the price is above the equilibrium price
 - the marginal social cost of the last unit is greater than the marginal social benefit
 - the quantity demanded is greater than the quantity supplied
29. The following is the demand-supply diagram for good X. E_0 is the initial equilibrium point.



If the government sets a price ceiling of P_1 for good X,

- consumer surplus will increase by area P_1bcd .
 - producer surplus will decrease by area P_1bE_0d .
 - total social surplus may increase, decrease or remain unchanged.
- (1) and (2) only
 - (1) and (3) only
 - (2) and (3) only
 - (1), (2) and (3)
30. The table below shows Country A's Gini coefficient in 2020 and 2025.

	2020	2025
Gini coefficient based on original household income	0.45	0.50
Gini coefficient based on post-tax post-social transfer household income	0.41	0.38

Based on the above information, we can conclude that

- Country A provided more social transfers in 2025 compared with 2020.
- the Lorenz curve based on original household income in 2025 is closer to the line of perfect income equality than that in 2020.
- the number of low-income households in Country A decreased while the number of high-income households increased.
- taxes and social transfers have improved income inequality in Country A.

END OF PAPER